MKM	PT. Mitsubishi Kramayudha Motors & Manufacturing

Document Name :	Department :
FIXED ASSET MANAGEMENT POLICY	Controlling

1. Introduction

In order to assist management and employees of PT. Mitsubishi Krama Yudha Motors and Manufacturing with implementing and maintaining consistent, effective and efficient asset management principles, such as :

- Clear definition of fixed assets (min. IDR 10.000.000 and to be used more than 1 year etc.)
- Clear rule for capitalization (Lifetime, Quality Up, Function Up etc.) with easy flow chart
- Centralized data management in SAP with standard items (Location, Biz.segment etc.)
- Physical checkshould be done at least once a year

2. Objectives

- To safeguard the fixed assets of MKM and To ensure the effective use of the existing resources
- To emphasize a culture of accountability over MKM's fixed assets
- To ensure that effective controls are communicated to management and staff through clear and comprehensive written documentation

Release Date :Sep 01,2015		Reference doc :	Sign			
Revision		- Indonesian GAAP - Indonesian Tax Regulation	Approved	Checked 2	Checked 1	Prepared
		Additional doc :	NOV. 6. 2015			
			K. Okamoto	G. Hashimoto	Teguh / Muhtarom	Boris S

BOD Approval on Asset Management Policy

In order to assist management and employees of PT. Mitsubishi Krama Yudha Motors and Manufacturing (MKM) with implementing and maintaining consistent, effective and efficient asset management principles, we need you approval and authorization to make such new policy start to become legalize and valid.

Thus, we would say thank you for your kind attention.

BOD Approval: **August 24th, 2015**

K. Okamoto Pres. Director	**Y. Kobayashi** VP. Director	**Patoni J.** Director	**A. Suratno** Director	**H. Kazumi** Director	**G. Hashimoto** CFO

Controlling 4 Nov. 2015

Fixed Asset Management Policy

Current condition after revision

Revision on Chapter 6 Disposal, Scrap, Transfer of Assets

6.1 Guideline Procedures for Disposal of Fixed Assets

6.2 Guideline Procedures for Scrapping of Fixed Assets

6.3 Guideline Procedures for Transfer

Additional on Legal Check by Legal Section for any legal matters and compliance.

FIXED ASSET MANAGEMENT POLICY

Introduction

This document is provided to assist management and employees of PT. Mitsubishi Krama Yudha Motors and Manufacturing (MKM) with implementing and maintaining consistent, effective and efficient asset management principles.

This manual supersedes all Fixed Asset management policy instructions that have previously been issued.

The policies are effective from 01 September 2015.

1. **Responsibility**

   The responsibility of fixed asset management lies with the Controlling Department Head and the Chief Financial Officer. The performance of this function has to be delegated to the fixed asset Accountant. This however, does not alleviate the responsibility of the Controlling Department Head and Chief Financial Officer. The Controlling Manager and the Chief Financial Officer will need to ensure that all the fixed assets are adequately insured against loss, theft and damage of any nature.

   No amendments, deletions or additions to the fixed asset register shall be made other than by the Chief Financial Officer or by an official acting under the instruction of the Chief Financial Officer.

2. **Objectives**

   The objective of this document is:

   - To safeguard the fixed assets of MKM and to ensure the effective use of the existing resources

   - To emphasize a culture of accountability over MKM's fixed assets

   - To ensure that effective controls are communicated to management and staff through clear and comprehensive written documentation

3. **Definition**

   3.1 **Definition of Fixed Asset**

   Consistent definitions are essential to ensure good asset management and reporting.

   A fixed asset is an asset with a useful life of more than one year and is used in the business of the MKM. Characteristics of a depreciable fixed asset are the following:

   - It is estimated the asset will be used for more than one financial period;

   - It has a limited useful life;

   - It is used in a process of MKM business;

   - The asset should provide future economic benefits;

   - It should be possible to determine the cost of the asset reliably; and

   - It is not intended for sale in MKM's normal activities.

   - Tangible.

3.2 Intangible assets

An intangible asset is an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.

3.3 Other Definitions

Cost of an asset

Cost of a fixed asset includes the cost of activities (cash equivalent) necessarily incurred to bring the fixed asset to the condition and location essential for its intended use (e.g. purchase price plus transport and installation).

Carrying Amount

Carrying is the amount at which the asset is recognized in the balance sheet after deducting any accumulated depreciation and accumulated impairment losses thereon.

Depreciation

Depreciation is the decline during the accounting period, in value of fixed assets as a result of physical deterioration, normal obsolescence or normal accidental damage.

During the useful life of the asset, the asset will be depreciated from it's actual cost price to its residual value. This value is usually nil. Depreciation will commence on the month following the acquisition/completion of the asset.

4. Capitalization and Valuation of Assets

Assets whose cost or reasonable value is less than IDR 10.000.000 (Ten Million rupiah) must be expensed in the month of purchase.

Every head of department shall, however, ensure that any item with a value in excess of IDR 10.000.000 (Ten Million Rupiah), and with an estimated useful life of more than one year, shall be capitalized in the asset register.

4.1 Capital budget

A capital budget must be compiled and approved for all capital acquisitions.

4.2 Capitalization vs. Expenditure

Subsequent expenditure relating to an asset should be capitalized to the net book value when it is determined that the asset has been enhanced.

Asset enhancements

Only expenses incurred in the enhancement of fixed or in the material extension of the useful life of a fixed asset shall be capitalized.

Expenses incurred in the maintenance or reinstatement of a fixed asset shall be considered as operating expenses incurred in ensuring that the useful operating life of the asset concerned is attained, and shall not be capitalized, irrespective of the quantum of the expenses concerned.

4.3 Guidelines for asset enhancements:

The following test must be where subsequent expenditure is incurred on assets already capitalized:

Subsequent expenditure relating to an asset should be capitalized to the net book value when –

- It is probable that further economic benefits in excess of the original assessment will accrue to the company; and
- The expenditure will improve the condition of the fixed asset beyond its original assessed standard of performance.

The test ensures that if the expenditure is an enhancement, it is added to the net book value of the fixed asset whereas if the expenditure is on a repair it is expensed.

As the classification of an expenditure item (for instance on repair or an improvement) is often subjective, the following guidelines for enhancements should be used:

- Added Life time
- Quality Upgrade
- Capacity Up
- Function Add

5. Procurement of assets

All assets acquired must be in terms of the capital budget. Assets must be procured in such a way that:

- A proper need for the asset was identified; and
- Proper and approved procurement procedures are adhered to.

Authorization for procurement should be as per the departments' delegation of assets authority and payment for assets should be in accordance with financial policies and regulations.

5.1 Guideline procedures for additions to fixed assets

On purchase of any fixed assets, via the normal procurement procedures the assets officer must ensure that the asset is recorded in the fixed assets register. It is the responsibility of the purchasing officer to report all assets purchased on arrival to the assets officer.

The following should be updated in the fixed asset register:

- Department requesting purchase and cost centre
- Cost of asset in question

- Acquisition date, and Expected useful life
- Asset number and sub number if it has sub asset
- Asset category, and Depreciation Method
- Asset description, detail type
- Maker, Type, Maker Serial and Vendor data
- Location, Line, and Machine Name
- Business Segment
- Manufacturing date, and Start running date
- Purchase Order number, Label, Photo, and Photo time
- Investment Order
- All relevant asset information e.g. Inventory Date, Inventory note etc.

6. Disposal, Scrap, Transfer of assets

Assets must be disposed in such a way that –

- In financial terms, such disposal is always to the benefit of the MKM and

- During the consideration and acceptance of tenders/quotations or any bid for such assets, the image of the MKM is not impaired.

Authorization for disposal should be as per the department's delegation of asset authority.
If the proceeds on disposal are less than the carrying value recorded in the fixed asset register, such difference shall be recognized as a loss on disposal in the income statement.
If the proceeds of the disposal are more than the carrying value of the fixed asset concerned, the difference shall be recognized as profit/gain on disposal in the income statement.

6.1 Guideline procedures for disposal of fixed assets

If the assets officer wants to dispose of any asset he/she must submit **Asset Disposal Requisition(ADR)** to the accountant.

The accountant must recommend, by signature, the assets to be disposed of and check the legal matters to legal section, then submit the form to the CHIEF FINANCIAL OFFICER.

The assets officer must update the fixed assets register, by detailing the date the assets were transferred for sale on the register, and file the ADR in the date order.

The following information should be updated in the fixed asset register:

- Department requesting disposal
- Cost and book value of the asset in question
- Date of sale/dispose
- The entire relevant asset information e.g. number, type etc.

The Accounting records should be updated with information regarding the sale. The profit or loss should be recognized in the financial records.

The only reason for writing off the fixed assets shall be the loss, theft, and destruction or material impairment of the fixed assets in question.

6.2 Guideline procedures for scrapping of fixed assets

If any respective department wants to scrap an asset, they must submit an Asset Scrapping Requisition (ASR) and the asset, where possible, to the assets officer.

The assets officer must physically inspect and recommend, by signature, the assets to be scrapped and check the legal matters to legal section, then submit the motivation to the CHIEF FINANCIAL OFFICER.

The assets officer must update his asset listing on receipt of the authorized ASR and file the ASR.

On receipt of the authorized ASR the assets officer must update the fixed asset register, by detailing the scrapping date on the register, and file the ASR in date order.

The following information should be updated in the fixed asset register:

- Reason for disposal
- Information relating to the buyer
- requesting disposal
- Cost, book value and proposed selling price of asset in question
- Date of sale
- The entire relevant asset information e.g. number, type etc.

6.3 Guideline procedures for Transfers

When fixed assets are transferred between the different respective department, a document that already checked by Legal Section regarding legal matters with CHIEF FINANCIAL OFFICER authorization should be attached to the asset being transferred so as to make sure that authority was given for that specific asset to be transferred. The document should also include full details of the asset being transferred which should include:

- Asset description
- Cost of the asset
- Date of acquisition
- Effective date of transfer

7. Asset classes and depreciation periods

Assets are classified in terms of GRAP (Generally Recognized Accounting Practice).

7.1 **The following are asset classes and depreciation periods**

Land	None
Building	10/20 year
Machinery	16 year
Factory Equipment	4 year
Vehicle	8 year
Office Equipment	4/8 year

MKM Fixed Asset Classification

SAP Asset Class	Description	Group	Useful Life	Depreciation Method	Tarif %
1000	Land			None	
1100	Land Rights	Building	20	Straight Line	5
2000	Building – Permanent	Building	20	Straight Line	5
2100	Building - Non Permanent	Building	10	Straight Line	10
3000	Machinery	3	16	Double Declining	12,5
4100	Vehicle	2	8	Double Declining	25
5000	Tools	1	4	Double Declining	50
5100	Jig	1	4	Double Declining	50
5200	Dies	1	4	Double Declining	50
5300	Standard Model	1	4	Double Declining	50
6000	Furniture & Fixture - Metal 25%	2	8	Double Declining	25
7000	Furniture & Fixture - Metal 50%	1	4	Double Declining	50

8. Controls over physical security of fixed assets

8.1 **Asset security**
All assets should be kept in a secure location, maintained regularly, insured against theft or destruction, utilized economically and efficiently.

8.2 **Assets identification**
A fixed assets and inventory register should be maintained, and all fixed assets should be tagged for reference to the fixed assets register.

8.3 **Physical verification**

The assets officer must perform a physical verification of all assets every year. A statement of Existence (SOE) must be issued for assets declaring that all assets listed are on hand and are in a useful working condition. The SOE must be sent to the CHIEF FINANCIAL OFFICER.

8.4 **Insurance cover**

The Controlling Department Head will arrange the necessary insurance cover properly.

8.5 **Repairs and maintenance**

A schedule should be kept detailing the regular maintenance required for all relevant assets.

All assets should be maintained in accordance with the schedule.

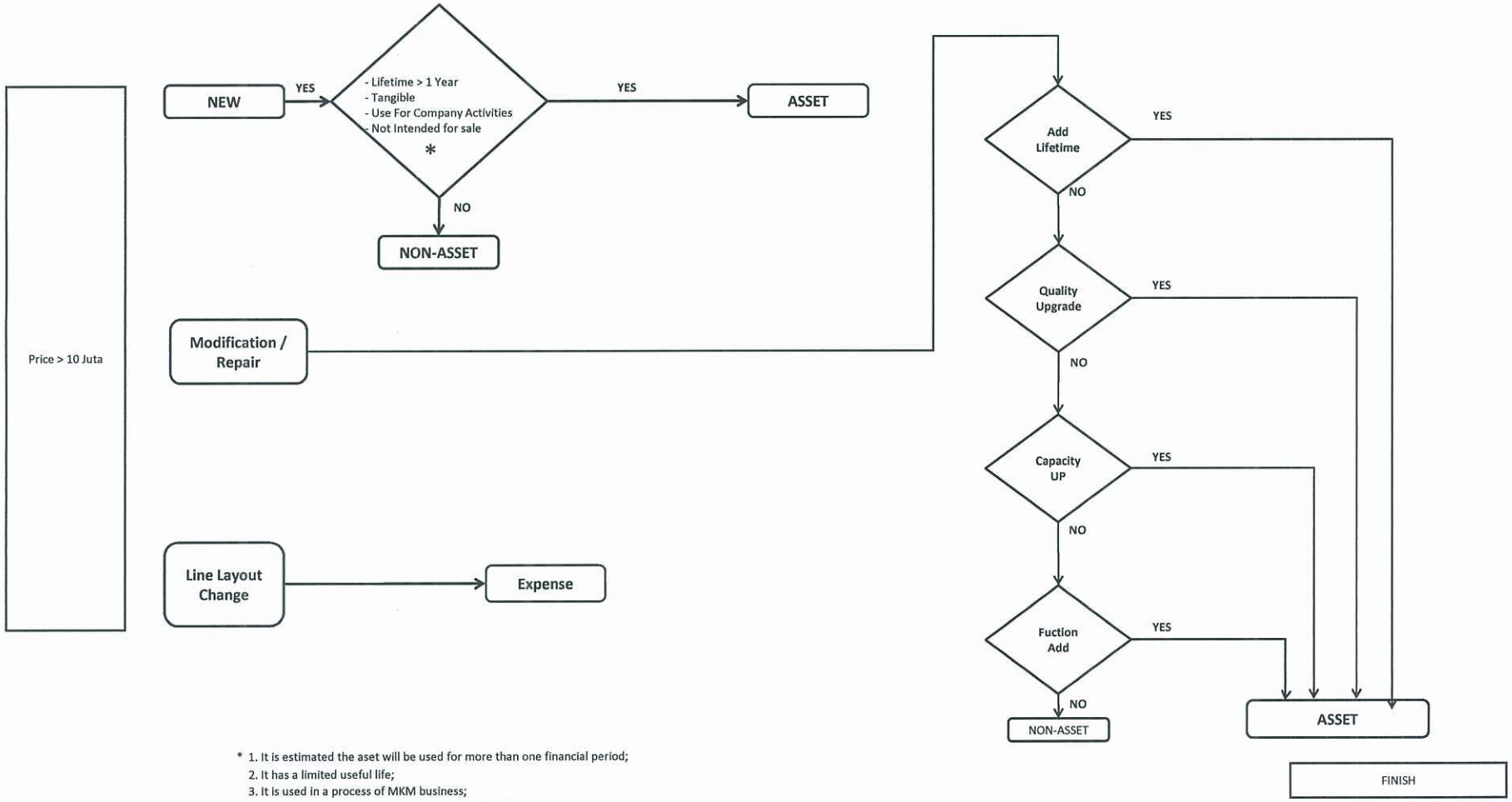
Repairs should be made to assets as necessary to assets after first checking to assess whether any guarantees exist in respect of the assets.

Approved By:

P.T. MITSUBISHI KRAMA YUDHA MOTORS AND MANUFACTURING
MKM

KENSUKE OKAMOTO
PRESIDENT DIRECTOR

FIXED ASSET JUDGEMENT FLOW CHART



* 1. It is estimated the aset will be used for more than one financial period;
2. It has a limited useful life;
3. It is used in a process of MKM business;
4. The asset should provide future economic benefits;
5. It should be possible to determine the cost of the asset reliably; and
6. It is not intended for sale in MKM's normal activities;
7. Tangible.

MKM Fixed Asset Classification

Proposed SAP Asset Class	Description	Group	Useful Life	Depreciation Method	Tarif %	Example
2000	Building - Permanent	Building	20	Straight Line	5	Factory Building, Warehouse, etc
2100	Building - Non Permanent	Building	10	Straight Line	10	Canopy, Parking Lot, etc
6000	Furniture & Fixture - Metal	2	8	Double Declining	25	Air Conditioner, Table, etc
7000	Furniture & Fixture - Non Metal	1	4	Double Declining	50	Table, Chair, Computer, etc
4100	Vehicle	1	4	Double Declining	25	Motorcycle. Bycycle, etc
4100	Vehicle	2	8	Double Declining	25	Car, Truck, Bus, etc
5000	Tools	1	4	Double Declining	50	Tools
5100	Jig	1	4	Double Declining	50	Jigs
5200	Dies	1	4	Double Declining	50	Dies
3000	Machinery	3	16	Double Declining	12,5	Press Machine, Welding Machine, etc

Fixed Asset Registration Form

No.	1	2	3	4
CONTROLLING DEPT.				
Asset No				
Sub Asset No				
Depreciation Method				
Life Time				
Cost Centre				
Inventory Date				
Inventory Note				
ORDERING DEPT.				
Ordering Dept.				
Dept. Control No				
Asset Category				
Asset Description				
Asset Type Detail				
Maker				
Type				
Maker Serial				
Machine Name				
Location				
Line				
Evaluation				
Mfg. Date				
Business Segment				
Start Running Date				
Investment Order				
photo time				
Photo				
Label				
PROCUREMENT DEPT.				
PO No.				
Acquisition Date				
Purchase Price				
Vendor				